NVIDIA (NVDA) - Committee Decision Memo

Action: Watch/defer. Do not initiate NVIDIA at the September 24, 2026 market reference of **$221.70 per share**. The final FCFF valuation range is **$137.31-$280.88 per share**, with a **$193.14 base case**. The range is evidence of uncertainty, not permission to select the most favorable case.

Evidence and valuation boundary

The intended user is the buy-side investment committee. The target is NVIDIA common stock, valued in USD as of September 24, 2026. The evidence boundary includes the FY2026 Form 10-K and Q2 FY2027 Form 10-Q filed August 26, 2026. The analysis uses 24,304 million common shares as a valuation-date share proxy, separate from the FY2026 weighted-average diluted EPS denominator.

NVIDIA's recent operating evidence is strong: FY2026 revenue was $215.9 billion, and Data Center growth remains the central driver. The valuation question is whether that operating strength supports the market's implied expectation after considering a front-loaded growth fade, margin normalization, and reinvestment needs.

Valuation and assumptions

The five-year three-statement forecast drives FCFF. The base case uses revenue growth of 70%, 40%, 25%, 15%, and 8%; gross margins of 74.0% through 72.5%; 10.0% WACC; and 3.0% terminal growth. It produces $193.14 per share. The low case combines a 5-point annual revenue-growth reduction, 100 bp lower margin, 10.75% WACC, and 2.5% terminal growth, producing $137.31. The high case produces $280.88 but requires a 5-point annual growth increase, 100 bp higher margin, lower WACC, and higher terminal growth.

The terminal value is 77.0% of base enterprise value. This is a material limitation, so the model supports watch/defer rather than an initiation solely because the high case exceeds the market reference. A reverse DCF indicates the market reference requires about a +4.13 percentage-point uniform increase to every explicit revenue-growth rate, with base margin, WACC, and terminal growth held constant.

AMD's historical P/E result is not averaged with the DCF. It is a single, qualified equity-multiple reference with materially different business mix and market expectations; it is useful for challenge, not as a decision value.

Risks, reversal, and committee ask

Key risks are a faster Data Center demand fade, margin pressure from system complexity and product transitions, greater reinvestment needs, customer concentration, China restrictions, and supply/capacity commitments. Revisit the analysis after the next filing. Consider initiation only if two reported quarters support the modeled demand, margin, and cash-conversion path while the price provides a margin of

safety to the base value. Move to do-not-initiate if reported demand, margins, or cash conversion undermine the modeled path or if the bridge/share-basis evidence materially changes.

Committee ask: keep NVIDIA on watch/defer; authorize monitoring and model refresh after the next filing rather than initiating at the recorded market reference.